

NOTES

CLASS/SEMESTER- BTECH(IT) 6TH SEM

SUBJECT CODE- MS-302

SUBJECT NAME- PRINCIPLES OF MANAGEMENT FOR ENGINEERS

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UNIT - 2 PLANNING AND DIRECTING



DEFINITIONS OF PLANNING :

1 .According to Alford and Beatt,

"Planning is the thinking process, the organized foresight, the vision based on fact and experience that is required for intelligent action."

2 .According to Theo Haimann,

"Planning is deciding in advance what is to be done. When a manager plans, he projects a course of action for further attempting to achieve a consistent co-ordinate structure of operations aimed at the desired results."

3. According to Billy E. Goetz,

"Planning is fundamentally choosing and a planning problem arises when an alternative course of action is discovered."

4 .According to Koontz and O' Donnell,

"Planning is an intellectual process, conscious determination of course of action, the basing of decision on purpose, facts and considered estimates."

NATURE / FEATURES OF PLANNING :

(1) Planning Focuses on Achieving Objectives:

Management begins with planning and planning begins with the determining of objectives. In the absence of objectives no organisation can ever be thought about. With the determining of objective, the way to achieve the objective is decided in the planning.

(2) Planning is Primary Function of Management:

Planning is the first important function of management. The other functions come after planning . In the absence of planning no other function of management can be performed .

This is the base of other functions of management.

For example, a company plans to achieve a sales target of 112 lakhs a year. In order to achieve this target the other functions of management, i.e., organising , staffing , directing and controlling comes into operation.

(3) Planning is Pervasive:

Planning concerns all managers .Since the job of planning is performed by the managers at different levels working in the enterprise, it is appropriate to call it all-pervasive.

Planning is an important function of every manager; they may be a managing director of the organisation or a foreman in a factory.

The time spent by the higher-level managers in the process of planning is comparatively more than the time spent by the middle-level and lower-level managers.

It is, therefore, clear that all the managers working in an enterprise have to plan their activities.

For example, the decision to expand business is taken by the higher-level managers. The decision to sell products is taken by the middle-level and lower-level managers.

(4) Planning is Continuous:

Planning is a continuous process for the following reasons:

(a) Plans are prepared for a particular period. Hence, there is need for a new plan after the expiry of that period.

(b) In case of any discrepancy plans are to be revised.

(c) In case of rapid changes in the business environment plans are to be revised.

(5) Planning is Futuristic:

Planning decides the plan of action what is to be done, how is it to be done, when it to be done, by whom is it to be done all these questions are related to future. Under planning, answers to these questions are found out.

While an effort is made to find out these answers, the possibility of social, economic, technical and changes in legal framework are kept in mind. Since planning is concerned with future activities, it is called futuristic.

For example, a company is planning to market a new product. While doing so it shall have to keep in mind the customs and the interests/tastes of the people and also the possibility of any change in them.

(6) Planning Involves Decision Making:

Planning becomes a necessity when there are many alternatives to do a job. A planner chooses the

most appropriate alternative. Therefore, it can be asserted that planning is a process of selecting the best and rejecting the inappropriate. It is, therefore, observed that planning involves decision making.

For example, Mr. Anthony lives in a town where only commerce stream is taught in schools. His daughter has passed matrix and wants to get admission in 10 + 1. It is evident that there is only one option for her, i.e., commerce.

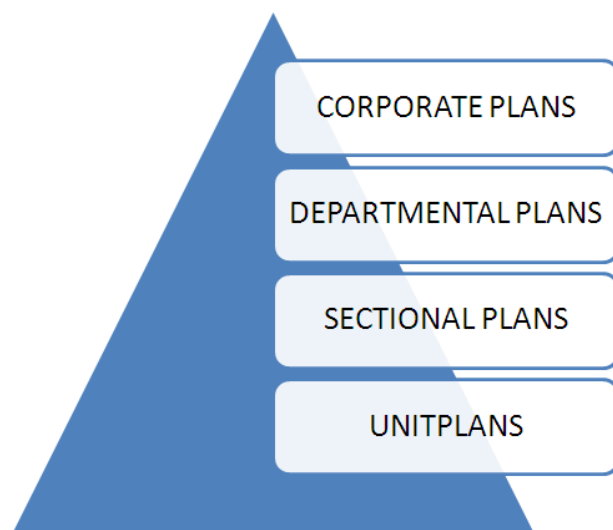
She doesn't have to think or plan anything. On the other hand, if all the three faculties' art, science & commerce were available in the schools, she would have to definitely think and plan about the subject of study. It would have been nothing but decision making in this case.

(7) Planning is a Mental Exercise:

Planning is known as a mental exercise as it is related to thinking before doing something. A planner has mainly to think about the following questions:

(i) What to do? (ii) How to do it? (iii) When to do it? (iv) Who is to do it?

(8) Plans are arranged in hierarchy :



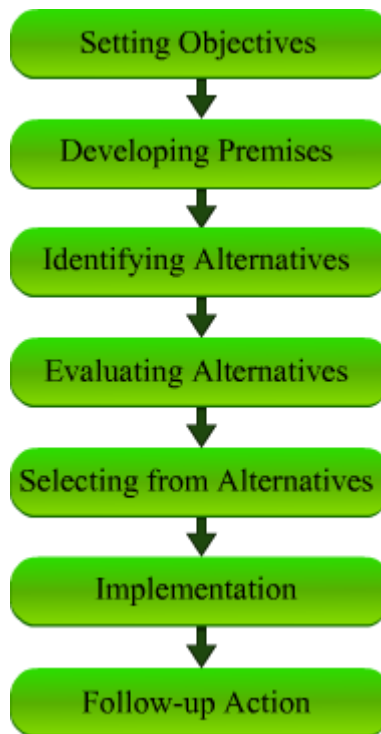
PURPOSE OF PLANNING :

1. Every plan should be linked with some objectives. The planning done by managers is aimed at **achieving the organizational goals**.
2. The planning helps people in **concentrating their efforts on the most important jobs** rather than wasting time on the lesser important work.
3. The purpose of planning is also to **minimize the cost of performance** and eliminate unproductive efforts.
4. It also **helps the management in adopting and adjusting** according to the changes that take place in the environment.
5. Planning also **provides a basis for teamwork** as when the goals are properly defined assignments

can be fixed and all the members can start contributing in the achievement of these objectives.

6. **Planning gives a sense of direction** and ensured that efforts are being put to useful purpose instead of being wasted. Planning also facilitate control because without planning there will be nothing to control.

PLANNING PROCESS



As planning is an activity, there are certain reasonable measures for every manager to follow:

(1) Setting Objectives

- This is the primary step in the process of planning which specifies the objective of an organisation, i.e. what an organisation wants to achieve.
- The planning process begins with the setting of objectives.
- Objectives are end results which the management wants to achieve by its operations.
- Objectives are specific and are measurable in terms of units.
- Objectives are set for the organisation as a whole for all departments, and then departments set their own objectives within the framework of organisational objectives.

Example:

A mobile phone company sets the objective to sell 2,00,000 units next year, which is double the current sales.

(2) Developing Planning Premises

- Planning is essentially focused on the future, and there are certain events which are expected to affect the policy formation.

- Such events are external in nature and affect the planning adversely if ignored.
- Their understanding and fair assessment are necessary for effective planning.
- Such events are the assumptions on the basis of which plans are drawn and are known as planning premises.

Example:

The mobile phone company has set the objective of 2,00,000 units sale on the basis of forecast done on the premises of favourable Government policies towards digitisation of transactions.

(3) Identifying Alternative Courses of Action

- Once objectives are set, assumptions are made.
- Then the next step is to act upon them.
- There may be many ways to act and achieve objectives.
- All the alternative courses of action should be identified.

Example:

The mobile company has many alternatives like reducing price, increasing advertising and promotion, after sale service etc.

(4) Evaluating Alternative Course of Action

- In this step, the positive and negative aspects of each alternative need to be evaluated in the light of objectives to be achieved.
- Every alternative is evaluated in terms of lower cost, lower risks, and higher returns, within the planning premises and within the availability of capital.

Example:

The mobile phone company will evaluate all the alternatives and check its pros and cons.

(5) Selecting One Best Alternative

- The best plan, which is the most profitable plan and with minimum negative effects, is adopted and implemented.
- In such cases, the manager's experience and judgement play an important role in selecting the best alternative.

Example:

Mobile phone company selects more T.V advertisements and online marketing with great after sales service.

(6) Implementing the Plan

- This is the step where other managerial functions come into the picture.
- This step is concerned with "DOING WHAT IS REQUIRED".
- In this step, managers communicate the plan to the employees clearly to help convert the plans into action.
- This step involves allocating the resources, organising for labour and purchase of machinery.

Example:

Mobile phone company hires salesmen on a large scale, creates T.V advertisement, starts online marketing activities and sets up service workshops.

(7) Follow Up Action

- Monitoring the plan constantly and taking feedback at regular intervals is called follow-up.
- Monitoring of plans is very important to ensure that the plans are being implemented according to the schedule.
- Regular checks and comparisons of the results with set standards are done to ensure that objectives are achieved.

Example:

A proper feedback mechanism was developed by the mobile phone company throughout its branches so that the actual customer response, revenue collection, employee response, etc. could be known.

OBJECTIVES OF PLANNING**1. Achievement of organizational objectives:**

Planning helps the organization to achieve its objectives. Planning provides the path for achievement of organizational goals with minimum waste of time, money and energy. It bridges the gap between where we are and where we want to go.

2. Fulfillment of organizational commitments:

Organization have long-term and short- term commitments towards society, depending on their nature. A defense organization, for example, has long- run commitments while a retailer is more interested in short term goals or responsibilities. These commitments or goals of the organization can be fulfilled through planning.

3. It facilitates decision making:

Managers have to make decisions like: what to produce and how to produce. What are the organizational resources and how can they be effectively allocated over different functional areas. What are their primary goals- profit or social responsibility and many more? Planning helps to decide a course of action that will solve the specific problem,.

4. It provides stability to organization:

Organizations that plan their operations are more stable than others. Managers foresee risk and prepare their organizations to face them when they occur.

5. Overall view of the organization/Coordination:

Organization is a structure of relationships where each person's authority and responsibility is clearly defined. Planning coordinates the functions performed by individual human beings and departments and unifies them into a single goal-the organizational goal. It unifies inter- departmental activities so that all departments work according to plans.

6. Optimum utilization of resources/efficiency of operations:

Organizations work with limited resources. Planning allocates these resources over different objectives and functional areas (production, personnel, finance and marketing) in the order of priority. This results in optimum utilization of scarce organizational resources (men, material, and money etc.) and effective conversion into productive outputs.

7. Development of managers:

Planning involves imagination, thought and creativity by managers. while planning, managers develop their conceptual and analytical skill to coordinate organizational activities with external environment.

8. Promotes innovation/creativity:

Planning involves forecasting. Managers foresee future, analyze the strengths of their competitors and think of new and innovative ways of promoting their products. Planning promotes new ideas, new products, new relationships and thus, promotes innovation and creativity.

9. Basis for control:

Planning frames standards of performance and control ensures achievement of standards. Controlling involves measurement of factual performance, its comparisons to make better plans for future. Unless there are plans, there will be no control. Planning is, thus, the basis for control.

10. Reduction of risk:

Risk is a situation where moderately reliable information is available about future but it is incomplete. Uncertainty, on the other hand, is a situation where no information is available about future. Changes in government's policies are a situation of uncertainty while entry of competitors in the market with a better technology represents a situation of risk. Planning helps to reduce risk through techniques of forecasting.

11. Morale boost up:

If organizational plans succeed and goals are achieved, managers and employees feel satisfied and morally boost up to further concentrate on organizational activities. Successful planning, thus, promotes success of the organization.

OBJECTIVE SETTING

Objective setting is when an organization plans goals and how to meet them on a realistic timescale. Objectives help define what each department's and employee's responsibilities are within the organization. Setting objectives is part of establishing expectations for employees and managing them, which is also called the performance management process.

Types of objectives

Role objectives - Every role has an objective, which is usually part of the role's job description. For example, a server's role and role objective are to serve customers in order to ensure customer satisfaction. Role objectives state what you need to do and why it's important. Performance standards, such as speed and accuracy, help evaluate role objectives.

Target objectives - Target objectives are measurable results from an employee. This could measure output, income, service, cost reduction or other targets. For example, you could measure a target objective for a jeweler by measuring their sales amount per day.

Task objectives - Task objectives are objectives completed by finishing tasks or major projects before a specified date. For example, a project's deadline can be an entire department's task objective.

Behavioral goals - Managers often set behavioral goals for an entire department, but you can also set them for an individual. Some behavioral expectations involve the use of language, dress, actions and speech representative of the company and team.

Performance goals - Performance goals are objectives of improved performance and help define what can help achieve better results. Sometimes, performance goals result in performance improvement plans that specify what actions both employees and management need to take.

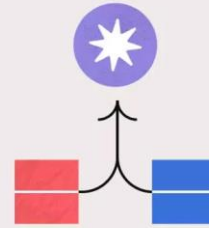
Learning goals - Learning goals help specify areas where employees and managers can develop, whether that be through workplace skills or knowledge. Management could arrange this through specialized training sessions or courses.

MANAGEMENT BY OBJECTIVES (MBO)

Management by objectives (MBO) aligns team member goals with company objectives so team members feel more motivated and included at work. First introduced by Peter Drucker in his 1954 book "The Practice of Management," the MBO model also places focus on monitoring team member performance using [reporting tools](#) and performance reviews.

Management by objectives (MBO)

aligns team member goals with company objectives so team members feel more motivated and included at work.



MBO uses objective standards to measure team member and company performance. Objective standards outline what is fair, reasonable, or acceptable in an agreement. You can use these standards to assess team member productivity and identify opportunity areas within the team. MBO works because part of the MBO process involves management and team members aligning and agreeing on these objective standard.

The 5 step process for MBO

There are five steps to the MBO technique. Implementing this process involves creating organizational goals and turning those goals into a set of individual objectives that team members can follow.



1. Define organizational objectives

The first course of action is to define your organizational objectives. As a project manager, your job may be to co-create company objectives or translate company objectives to your team in an understandable way. You can use a [business goals template](#) to structure your specific goals in this stage.

2. Translate objectives into goals

After you've defined the company's objectives, use a [top-down approach](#) to translate the company objectives into individual goals for each team member. Make sure you're using the [SMART goals](#) framework to ensure your team members' goals are measurable and achievable.

When team members have personal goals that ladder up to larger company goals, they understand how they fit into the bigger picture.

According to some [research](#), only 26% of employees have a clear understanding of how their individual work relates to company goals and just 16% say their company is effective at setting and communicating goals.

3. Monitor performance

As your team members work toward their specific objectives, you'll need to monitor their performance. You can monitor the performance of each team member by gathering [success metrics](#) from your project management tool and assessing whether [objectives and key results](#) (OKRs) are being met. Monitoring team member performance will also help you assess team member productivity.

4. Evaluate progress

You can evaluate team member progress by setting up performance appraisals. Performance appraisals will allow you to give personal feedback on what each team member is doing well and where they can improve on their individual goals so they can better serve the company as a whole. This step in performance management is crucial because it emphasizes [effective communication](#) between management and the team. Team members may look forward to performance evaluations because [feedback can provide a boost](#) in [team productivity](#).

5. Reward accomplishments

The last step in the MBO system is rewarding the team for their achievements. This increases [team morale](#) and keeps teammates motivated to work hard during the next MBO process.

You can reward your team in both intrinsic and extrinsic ways. You can promote [intrinsic motivation](#) by challenging team members, recognizing their hard work, ensuring they feel a sense of belonging, and offering team-building activities. With these actions, you'll help team members develop self-confidence and self-motivation.

Extrinsic rewards may include praise, a paid bonus, a salary increase, promotions, extra responsibility in their current role, or with paid time off. These rewards may be tangible or intangible, but they'll likely incentivize team members to continue working toward their individual objectives and the company's.

The pros and cons of MBO

MBO became a popular management strategy in the 1960s and 1970s after it was first introduced by Drucker. However, widespread usage of the model has since decreased as companies tested out new styles of management. Some companies today still use MBO, but there are arguments for and against it.



Pros of MBO

Supporters of MBO believe that using this form of management within a larger system creates a simpler management structure. Other benefits include:

- ✓ **Increased team productivity:** When team members have personal objectives, they have more clarity about why their work matters. As a result, their motivation and productivity increases.
- ✓ **Improved team communication:** The MBO model can improve team communication and create a more open work environment because team members understand the objectives of the company and know that their personal goals align with those objectives.
- ✓ **Personalized team member objectives:** Because the MBO system personalizes team member objectives and makes it a priority for team members to reach their highest potential, everyone in the company understands how their work makes an impact.

Cons of MBO

Opponents of MBO believe that the model risks overlooking company ethics and values by placing so much focus on individual goals. Other drawbacks include:

- ✓ **Prioritization of goal-setting over strategic planning:** Prioritizing personal objectives for team members may come at the expense of long-term strategic planning. Companies that spend so much time setting goals may have less time to focus on company culture, operational issues, and other areas of involvement.

- ✓ **Increased strain on team members to meet goals:** Because MBO focuses on the individual, team members may feel too much pressure to reach their goals. This can be a drawback of MBO because team members may become overworked in this type of work environment, which can lead to low retention and low morale.
- ✓ **Competition between team members:** The extrinsic-focused reward system incorporated in MBO may promote competition between team members, which may get in the way of creating a healthy work environment. Healthy team dynamics in the workplace should include teamwork and supporting one another to reach personal and company goals.

Management by objectives example :

An example of MBO in action would be a company that has a quarterly objective to earn 30% of overall revenue from their marketing efforts. To achieve this objective, they break it down into personal objectives for each team member.

- ◆ For the digital marketers on the team, their personal objectives are to secure three new marketing clients for the quarter.
- ◆ Managers monitor team member performance over the quarter to identify how each team member plans to achieve their personal goal and whether they're making progress toward the goal.
- ◆ If a team member reaches their goal at the end of the quarter, they are rewarded with a paid bonus.

TYPES OF PLAN

Type # 1. Objectives:

Objectives are plans for the future that will serve to provide direction for subsequent activity. We have a hierarchy of objectives. Primary or basic objectives are determined by the top management. Each department has its own objectives within the framework of basic goals.

Plans: Type # 2. Policies:

A policy is a standing plan or answer to recurring questions. It is a continuing decision which applies to repetitive situations. It is a guide to action or decision of a manager. A policy helps keep work in line with objective. Policies are directives providing continuous framework for executive actions on recurrent managerial problems. Policies take the form of general statements to lead managerial activity through proper channel towards the objective. For instance, a firm has a policy of promotion from within.

If a vacancy arises, naturally the first preference is given to existing employees if they meet the job requirements. A policy assists decision making. But deviations may be needed, of course, as exceptions and under some extraordinary circumstances. In other words, there is a limited scope for discretion in dishonouring a policy.

Type # 3. Rules:

Rules are the simplest type of plan chosen from alternatives. A rule requires that a specific action be taken or not taken with respect to a situation. It is more rigid and more specific than a policy. It guides action but provides no discretion in its strict application.

Of course, rules are essential for discipline and smooth operations of the business. No smoking rule in a factory is applicable to all including the top executives. A rule is designed to define in advance, what alternative must be selected, or what decision must be made. In effect it dictates the way an activity is to be (or is not to be) done. A rule is related to procedure.

Type # 4. Procedure:

It is a standing plan acting as a means of implementing a policy. For example the sales department lays down a policy to execute all orders within 48 hours. The procedure of execution of orders will prescribe a sequence of steps that must be followed after the receipt of an order till the dispatch of goods to the customer.

These chronological series of steps or tasks constitute a procedure. A procedure lays down the manner or method by which work is to be performed in a standard and uniform way. Once a procedure is established, it ensures uniformly high level of performance. It results in work simplification and eliminates overlap or duplication of efforts. Policy guides thinking and action, whereas procedure guides action only to fulfil the objectives.

Type # 5. Programme:

It is a single use plan. It is a sequence of activities designed to implement policies and accomplish objectives. It gives step-by step approach to guide action necessary to reach predetermined targets. It is an instrument of co-ordination, i. e., a timetable of action. A good programme ensures smooth and efficient operation. A procedure tells how it is to be done, whereas a programme tells what is to be done.

It enables a manager to prepare carefully and systematically for difficulties, before they arise. We have detailed programmes of personal selling advertising, and sales promotion in our marketing campaign to accomplish the set goals in sales and to reach the particular market.

Type # 6. Schedules:

Scheduling is the process of establishing time sequence of the work to be done. It is an integral part of programming. A schedule specifies the time when each of a series of actions should take place. Once the tasks to be done and the persons who must do them are clear according to our standing plans, scheduling may be the only element needing immediate management attention.

Plans: Type # 7. Budget:

A budget is a projection (and a plan) defining anticipated costs of attaining an objective. It is an appraisal of expected expense against anticipated income or a future period. It may be stated in time, materials, money or other units required to perform work and secure specified result.

BARRIERS TO EFFECTIVE PLANNING

- ◆ Lack of reliable data
- ◆ Lack of initiative
- ◆ Costly Process
- ◆ Rigidity on organisational working
- ◆ Resistance to change
- ◆ External Limitations
- ◆ Psychological barriers

STRATEGIES

The word “strategy” is derived from the Greek word “stratēgos”; stratus (meaning army) and “ago” (meaning leading/moving). □ Strategy is an action that managers take to attain one or more of the organization’s goals. Strategy can also be defined as “A general direction set for the company and its various components to achieve a desired state in the future. Strategy results from the detailed strategic planning process”

A strategy is all about integrating organizational activities and utilizing and allocating the scarce resources within the organizational environment so as to meet the present objectives. While planning a strategy it is essential to consider that decisions are not taken in a vacuum and that any act taken by a firm is likely to be met by a reaction from those affected, competitors, customers, employees or suppliers.

Strategy can also be defined as knowledge of the goals, the uncertainty of events and the need to take into consideration the likely or actual behavior of others. **Strategy is the blueprint of decisions in an organization that shows its objectives and goals, reduces the key policies, and plans for achieving these goals, and defines the business the company is to carry on, the type of economic and human organization it wants to be, and the contribution it plans to make to its shareholders, customers and society at large.**

□ ## Strategy can be formulated at three levels, namely, the corporate level, the business level, and the functional level

1. Corporate Level: Corporate level strategy defines the business areas in which your firm will operate. It deals with aligning the resource deployments across a diverse set of business areas, related or unrelated. Strategy formulation at this level involves integrating and managing the diverse businesses and realizing synergy at the corporate level. The top management team is responsible for formulating the corporate strategy. The corporate strategy reflects the path toward attaining the vision of your organization. For example, your firm may have four distinct lines of business

operations, namely, automobiles, steel, tea, and telecom. The corporate level strategy will outline whether the organization should compete in or withdraw from each of these lines of businesses, and in which business unit, investments should be increased, in line with the vision of your firm

2. Business Level: Business level strategies are formulated for specific strategic business units and relate to a distinct product market area. It involves defining the competitive position of a strategic business unit. The business level strategy formulation is based upon the generic strategies of overall cost leadership, differentiation, and focus. For example, your firm may choose overall cost leadership as a strategy to be pursued in its steel business, differentiation in its tea business, and focus in its automobile business. The business level strategies are decided upon by the heads of strategic business units and their teams in light of the specific nature of the industry in which they operate.

3. Functional Level: Functional level strategies relate to the different functional areas which a strategic business unit has, such as marketing, production and operations, finance, and human resources. These strategies are formulated by the functional heads along with their teams and are aligned with the business level strategies. The strategies at the functional level involve setting up short-term functional objectives, the attainment of which will lead to the realization of the business level strategy. For example, the marketing strategy for a tea business which is following the differentiation strategy may translate into launching and selling a wide variety of tea variants through company-owned retail outlets. This may result in the distribution objective of opening 25 retail outlets in a city; and producing 15 varieties of tea may be the objective for the production department. The realization of the functional strategies in the form of quantifiable and measurable objectives will result in the achievement of business level strategies as well.



IN SOME SMALL POINTS

Corporate Level Strategy:

- Defines the business areas in which your firm will operate.
- Involves integrating and managing the diverse businesses and realizing synergy at the corporate level.
- Top management team is responsible. □

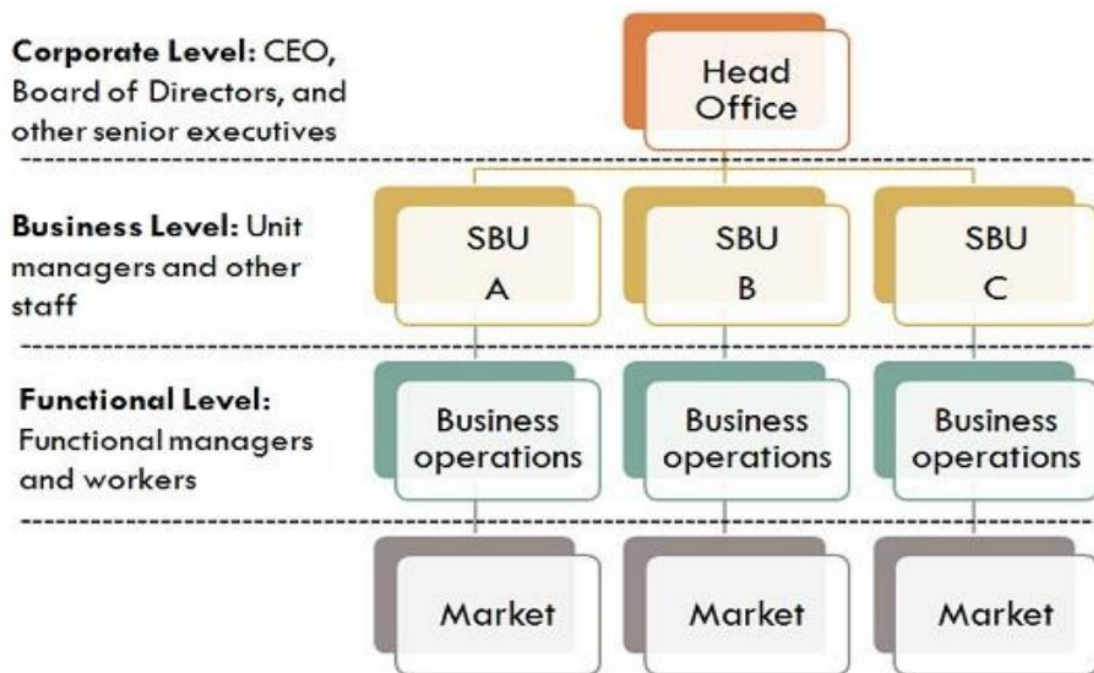
Business Level Strategy:

- Involves defining the competitive position of a strategic business unit.
- Decided upon by the heads of strategic business units and their teams. □

Functional Level Strategy:

- Formulated by the functional heads along with their teams.
- Involve setting up short-term functional objectives.

HOW TO APPLY LEVELS IN BUSINESS:



Types of strategies:

1. **Stability strategy:** this type of strategy is used by an organization in cases where the organization is satisfied with the current situation and therefore it does not want to move away from such a position. Consequently, in such a case, the organization goes for the stability strategy. However a stability strategy can prove to be effective when the environment of the organization is also stable. In most of the cases, this type of strategy is used by the organizations. The reason is that it is the least risky course of action. For example, the stability strategy will be adopted by an organization if it is satisfied by dealing with the same product or service, providing its services to the same group of consumers and maintaining the same market share. Sometimes, the organization is not adventurous enough to try new strategies and change its situation. However, the stability strategy can be adopted successfully by the organizations from a mature industry that has a static technology. But as a result of adopting the stability strategy, the managers may become complacent. In the same way, whenever a change arises in such an organization, the managers find it difficult to deal with such changes.

2. **Growth strategy:** growth is related with expansion and diversification of the business operations. Therefore, if the management of the organization is not satisfied with the present status of the company, or when changes are taking place in the environment of the organization, or if favorable opportunities arise, it will be helpful for the organization to adopt growth strategy as it helps in expansion and also in diversification. A growth strategy can be implemented in the organization through market development, product development, merger or diversification. In case of product development, the organization adds new products to the existing products or these new products

replace the products that were offered by the organization earlier. On the other hand, in case of vertical integration, the organization may also decide to take backward or forward lines. In such a case, either the company may decide to produce its own raw materials or it may decide that it will process its own output in future. It is very important that the growth strategy should be controlled and planned in a proper way otherwise such a strategy may not be successful in achieving its objectives. Due to the reason that growth indicates effective management, it is always desirable to adopt such a strategy.

2.1 Expansion strategy

Market penetration involves expanding a company's presence in existing markets with current products or services. For instance, a smartphone manufacturer may offer discounts on its latest model to attract more buyers within its established customer base. Aggressive marketing campaigns, like promotional events or loyalty programs, can also enhance brand loyalty and encourage repeat business.

Market development entails introducing existing products to new markets or customer segments. An example is a software company launching its established product in a previously untapped international market. By adapting marketing strategies and collaborating with local partners, the company aims to capture new customers and increase revenue in a different geographic region.

Product development focuses on creating and introducing new products or services within existing markets. A well-known example is Apple consistently releasing updated versions of its iPhone, incorporating technological advancements to meet evolving consumer demands. This strategy aims to maintain competitiveness and stimulate sales by offering innovative solutions to the existing customer base.

2.2 Diversification is a growth strategy wherein a company expands its business activities into new markets or industries that are unrelated to its existing products or services. This strategy aims to spread risk, capture new revenue streams, and capitalize on opportunities outside the current business scope. An example of diversification is Virgin Group, which started as a music record retailer and later diversified into various industries such as airlines, telecommunications, and space travel.

- A **conglomerate strategy** involves a company diversifying into unrelated industries to spread risk and capitalize on various markets. An illustrative example is Berkshire Hathaway, led by Warren Buffett, which owns subsidiaries in sectors such as insurance (GEICO), energy (MidAmerican Energy), and consumer goods (Dairy Queen). The conglomerate approach aims to achieve financial stability by operating in diverse sectors, reducing vulnerability to economic downturns in any single industry.
- Conversely, a **concentric strategy**, or concentric diversification, sees a company expanding into related businesses to leverage existing capabilities and create synergies. For instance, when Google expanded from search services into online advertising (Google Ads) and mobile operating systems (Android), it adopted a concentric strategy. This approach allows companies to capitalize on their core competencies, sharing resources and knowledge across related ventures for increased efficiency and competitive advantage. Both strategies offer distinct advantages and considerations, shaping the overall growth and risk management approach of a

company.

2.3 Integration strategy refers to a set of actions and plans that a company employs to strengthen its position in the market by controlling various stages of the production and distribution process. There are two main types of integration strategies: horizontal integration and vertical integration.

- **Horizontal Integration:**

Definition: Involves acquiring or merging with competitors at the same stage of the value chain. The goal is to increase market share, reduce competition, and achieve economies of scale.

Example: In the tech industry, Facebook's acquisition of Instagram and WhatsApp is an instance of horizontal integration. It expanded Facebook's user base and eliminated potential competitors in the social media space.

- **Vertical Integration:**

Definition: Involves taking control of different stages of the production or distribution process, either backward (upstream) towards suppliers or forward (downstream) towards customers. This can enhance efficiency, control costs, and improve supply chain coordination.

Examples:

- ✓ **Backward Integration:** An example is when an automobile manufacturer acquires a steel production company to ensure a stable and cost-effective supply of steel for its vehicles.
- ✓ **Forward Integration:** Apple's ownership of its retail stores is an example of forward integration. It allows Apple to have direct control over the sales and customer experience of its products.

2.4 Retrenchment Strategy: Retrenchment is a strategy aimed at reversing declining performance and restoring financial health. It involves cost-cutting measures, operational restructuring, and streamlining operations. An example is when a company reduces its workforce, closes unprofitable business units, or eliminates non-essential expenses to regain profitability.

- **Turnaround Strategy:** Turnaround strategy focuses on revitalizing a struggling company by implementing significant changes in its operations, management, or overall strategy. This may involve leadership changes, operational improvements, and financial restructuring. For instance, when IBM shifted its focus from hardware to software and services in the 1990s, it executed a successful turnaround strategy.
- **Divestment Strategy:** Divestment involves selling off certain business units or assets to streamline operations and improve overall performance. Companies may divest non-core or underperforming assets. An example is when Procter & Gamble divested its beauty brands to Coty to concentrate on core businesses like consumer goods.
- **Liquidation Strategy:** Liquidation is the most drastic strategy, involving the selling off of all assets and closing down the business. This strategy is typically considered when all other

attempts to recover have failed. An example is the liquidation of Toys "R" Us in 2018, where the company closed its stores and sold off assets due to financial struggles.

2.4 A combination strategy, also known as a hybrid strategy, involves the simultaneous use of more than one business strategy to achieve organizational goals. This approach seeks to leverage the strengths of different strategies to create a unique and competitive advantage. The most common combination is a mix of differentiation and cost leadership strategies.

POLICIES AND PLANNING PREMISES

Policies:

Definition: Policies are predetermined courses of action that guide decision-making and help in achieving specific objectives. They provide a framework for consistent and appropriate behavior within an organization.

Role in Planning: Policies act as guidelines for planning by setting boundaries and indicating the preferred ways of accomplishing goals. They serve as a basis for decision-making and ensure that actions are aligned with organizational values and objectives.

Examples: A company might have policies related to human resources, finance, information technology, and other areas, which influence how these aspects are considered in the planning process.

Planning Premises:

Definition: Planning premises are the assumptions or forecasts about the external and internal factors that may impact the future. These assumptions serve as a foundation for the planning process and are essential for making informed decisions.

Role in Planning: Planning premises help planners anticipate potential challenges and opportunities. They provide a basis for forecasting and scenario analysis, allowing organizations to develop flexible plans that can adapt to different circumstances.

Types of Premises:

- **Internal Premises:** These include factors like the organization's resources, capabilities, and current internal conditions.
- **External Premises:** These involve external factors such as economic conditions, market trends, political influences, and technological advancements.

Competitor intelligence

Competitor intelligence, also known as competitive intelligence, plays a vital role in the planning process for organizations. It involves gathering and analyzing information about competitors to gain insights that can inform strategic decision-making. Here's how competitor intelligence is integrated into the planning process:

Understanding the Competitive Landscape:

Identification of Competitors: Competitor intelligence helps in identifying and profiling competitors in the market. This includes both direct competitors (offering similar products or services) and indirect competitors (those addressing similar customer needs through different means).

Market Analysis:

Market Positioning: By analyzing competitors, organizations can understand their own market positioning relative to others. This information aids in identifying opportunities for differentiation and areas where the organization can gain a competitive advantage.

SWOT Analysis:

Strengths and Weaknesses: Understanding competitors' strengths and weaknesses allows organizations to benchmark their own capabilities. It helps in identifying areas where the organization can capitalize on its strengths and address weaknesses to gain a competitive edge.

Strategic Planning:

Opportunity Identification: Competitor intelligence helps in spotting market trends, customer preferences, and emerging opportunities. Organizations can align their strategic plans to capitalize on these trends or address gaps in the market.

Risk Management:

Threat Assessment: Competitor intelligence is crucial for identifying potential threats from competitors, such as new product launches, pricing strategies, or market expansion plans. This information allows organizations to proactively respond to and mitigate potential risks.

Product and Service Development:

Innovation Insights: By monitoring competitors' R&D activities and new product launches, organizations can gain insights into industry trends and technological advancements. This information is valuable for shaping their own innovation and product development strategies.

Marketing and Pricing Strategies:

Promotional Tactics: Understanding competitors' marketing and promotional activities helps organizations refine their own marketing strategies. It also assists in pricing decisions, as businesses can benchmark their prices against competitors to remain competitive in the market.

Performance Evaluation:

Key Performance Indicators (KPIs): Regular monitoring of competitors' financial performance and market share provides benchmarks for evaluating the success of an organization's strategies. It helps in identifying areas of improvement and adjusting plans accordingly.

BENCHMARKING

Benchmarking is a strategic management tool that involves comparing an organization's processes, performance metrics, and practices against those of industry leaders or competitors to identify best practices, set performance standards, and drive continuous improvement. It is a systematic and ongoing process that allows companies to evaluate their performance, identify areas for improvement, and implement changes to enhance efficiency and effectiveness. Here are key points about benchmarking:

Types of Benchmarking:

- **Internal Benchmarking:** Comparing performance and practices within different departments or units within the same organization.
- **Competitive Benchmarking:** Comparing performance against direct competitors in the industry.
- **Functional Benchmarking:** Comparing processes and practices with those of organizations that excel in specific functions, even if they are in different industries.

Benchmarking Process:

- **Identify Metrics:** Determine the key performance indicators (KPIs) and processes to be benchmarked.
- **Select Benchmark Partners:** Identify organizations or units with superior performance in the chosen metrics or processes.
- **Data Collection:** Gather data on performance metrics, processes, and practices from both the benchmarking partner and your organization.
- **Analysis:** Compare and analyze the data to identify performance gaps, best practices, and areas for improvement.
- **Implementation:** Implement changes and improvements based on the insights gained from the benchmarking process.

Benefits of Benchmarking:

Performance Improvement: Identify and adopt best practices to improve efficiency and effectiveness.

Innovation: Encourage innovation by learning from industry leaders and adopting cutting-edge practices.

Strategic Planning: Inform strategic decision-making by understanding industry trends and competitors' strengths and weaknesses.

Customer Satisfaction: Enhance customer satisfaction by aligning processes with industry standards and customer expectations.

Challenges of Benchmarking:

Data Availability: Accessing reliable and relevant benchmarking data can be a challenge.

Applicability: Not all best practices from other organizations may be directly applicable to a specific context.

Resistance to Change: Employees may resist changes resulting from the benchmarking process.

FORECASTING AND DECISION MAKING (REFER BOOK PDF NOTES)

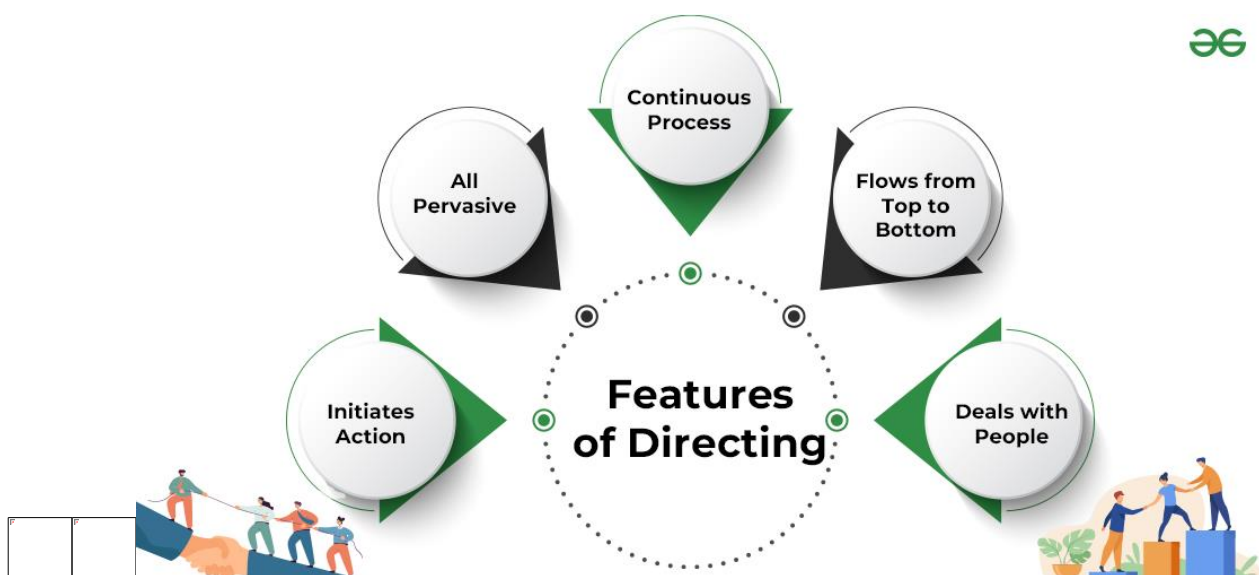
DIRECTING

The process of instructing, guiding, counselling, motivating, and leading people in an organisation to achieve the organisational goals is known as **Directing**.

Directing not only includes order and instructions by a superior to the subordinates but also includes guiding and inspiring them. It encompasses many elements like motivation, leadership, supervision, besides communication. It is a managerial function which is performed throughout the life of an organisation.

After planning, organising the structure of the organisation and arranging the necessary human force, the next important step is directing. Directing aims to ensure that activities after planning, organising the structure of the organisation and arranging the necessary human force, the next important step is directing. Directing aims to ensure that activities of all the employees are mobilised towards the organisational goals. It is the connecting link between the functions of management, i.e., planning, organising, staffing and controlling.

Features or Characteristics of Directing



- **Directing initiates action:** The other functions of management, i.e., planning, organising, staffing, etc., create conditions for managers to take appropriate actions, whereas directing

function initiates actions in an organisation. It converts plans into action. It is the key managerial function performed by the managers.

- **Directing is pervasive:** It is pervasive as it takes place at every level of management. It takes place wherever superior-subordinate relations exist. Every manager has a subordinate who works under him and is responsible for getting things done.
- **Directing is a continuous process:** Directing is an ongoing activity. It takes place throughout the life of an organisation, irrespective of the people in the organisation. Managers give orders to their subordinates, motivate them, and guide them on a continuous basis.
- **Directing flows from top to bottom:** It flows from top to bottom through the organisational hierarchy. In directing, every manager directs his subordinates and takes instructions from his immediate boss. It is a function of a superior, i.e., the superior motivates, guides, and supervises his subordinates to achieve the organisational goals.
- **Directing deals with people:** It is concerned with the direction of human efforts towards organisational goals. It can be said that directing is a delicate function, as it deals with people, and human behaviour is complex and highly unpredictable.

Elements of Directing

Directing as a management function comprises the following elements.

1. Communication
2. Supervision
3. Motivation
4. Leadership

Communication: Communication is one of the most basic functions of management, it is the process by which a piece of information is transferred from one person to another in an organisation. The person who conveys the information is known as the sender and the one to whom the information is conveyed is known as the receiver.

The purpose of communication in an organisation is to send across any set of instructions, orders or information related to the improvement of the operational efficiency.

Communication is essential for conveying the state of performance of the employees and ways to improve them. Proper communication occurs when subordinates understand what was conveyed to them by the supervisor and act accordingly, whereas miscommunication occurs when the information conveyed is not clear and understandable, leading to misunderstanding and loss of performance.

Communication can always be two sided, where the flow of information is from supervisor to subordinates and vice versa.

Supervision: Supervision is the next step after information is conveyed by the supervisor to the employees regarding the work that needs to be done. It is that stage where the supervisor oversees if the subordinates are following what has been instructed to them.

Managers act as supervisors and they ensure that the work is going as per their instructions. It is the duty of a supervisor to make sure that all instructions are properly followed and the subordinates are doing as they are instructed.

Supervisors act as problem solvers of the subordinates regarding any issues with the instructions or the process.

Motivation: Motivation is one of the key elements of directing. Issuing of order to the subordinates by the supervisor does not guarantee that it will be followed exactly as was asked for.

For getting the desired outcome, the employees need to be motivated by the managers which leads to the task being completed efficiently. Motivation is a force that makes an individual perform to the best of his abilities in order to complete a set of tasks or instructions.

Motivation can be in the form of monetary gains such as incentives or bonus, it can be non-monetary such as appreciation or growth.

Leadership: Leadership is that element of directing that involves motivation and persuasion in order to achieve the desired goals. A leader is defined as a person who is able to influence other people and inspires them to follow the instructions provided.

In other words, leadership is the act of leading, guiding and motivating the subordinates to achieve the organisational goals.

Scope of Directing

The scope or importance of the directing in the organization lies in the fact that every action is initiated through direction. Directing informs the human beings in the organization what he should do, how he should do, and when he should do. The scope of the directing in the organization is summarized as follows are asked how the ideas could be combined or improved :

- Directing conveys management perspective of the organization to the individuals and motives them to function in the desired way to meet the organizational objective.
- Directing integrates the employee's individual efforts to make it effective to achieve organization objectives. □
- Without having proper motivation, leadership and communication, individual's capability and potential may not be fully utilized. □
- Any changes in the society, where the organization exists, will affect the organization structure and the individuals within it.
- Directing with its elements provide stability in the organization and maintain balances in the different parts of the organization.

Human Factors

Human factors play a crucial role in the directing process, as they encompass the psychological, social, and cultural aspects that influence how people behave and perform within an organization. Here are some key human factors to consider in the directing function:

Communication Skills: Effective communication is essential for successful directing. Leaders need to convey expectations, provide feedback, and ensure that team members understand their roles and responsibilities. Consideration of diverse communication styles and preferences among team members is crucial for fostering a positive and inclusive work environment.

Motivation and Morale: Understanding individual and collective motivators is key to directing teams towards high performance. Different people are motivated by different factors, such as recognition, autonomy, or personal development. Leaders must create a positive work environment that fosters high morale and a sense of purpose among team members.

Leadership Style: The leadership style adopted by a manager greatly influences how they direct their team. Styles can range from authoritative to democratic, and the choice may depend on the nature of the task, the team, and the organizational culture.

Team Dynamics: Recognizing and managing team dynamics is critical. This involves understanding how individuals interact, collaborate, and influence each other within the team. Addressing conflicts, promoting collaboration, and leveraging the strengths of team members contribute to effective directing.

Cultural Sensitivity: In a diverse workplace, cultural factors play a significant role. Leaders need to be culturally sensitive, considering differences in communication styles, work habits, and values among team members. An inclusive approach that values diversity enhances team cohesion and performance.

Emotional Intelligence: Leaders with high emotional intelligence can better navigate and understand the emotions of themselves and others. This skill is valuable in providing support, resolving conflicts, and building strong interpersonal relationships.

Feedback and Recognition: Providing constructive feedback and recognizing achievements are essential for employee development and motivation. Leaders should be adept at delivering feedback in a way that encourages improvement and growth.

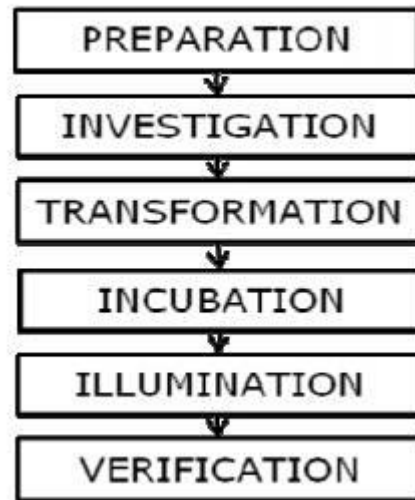
Adaptability: Human factors also include the ability to adapt to changing circumstances. Leaders need to be flexible and open to new ideas, adjusting their directing approach as needed to meet evolving challenges.

CREATIVITY AND INNOVATION

Often used interchangeably, they should to be considered separate and distinct. Creativity can be described as problem identification and idea generation and innovation is considered as idea selection, development and commercialization.

Creativity is creation of new ideas and Innovation is implementation of the new ideas. There cannot be innovation without creativity. There can be creativity without innovation but it has no value.

Steps involved in creativity



1) **Preparation:** This is the first stage at which the base for creativity and innovation is defined; the mind is prepared for subsequent use in creative thinking. During preparation the individual is encouraged to appreciate the fact that every opportunity provides situations that can educate and experiences from which to learn.

The creativity aspect is kindled through a quest to become more knowledgeable. This can be done through reading about various topics and/or subjects and engaging in discussions with others. Taking part in brainstorming sessions in various forums like professional and trade association seminars, and taking time to study other countries and cultures to identify viable opportunities is also part of preparation. Of importance is the need to cultivate a personal ability to listen and learn from others.

2) **Investigation:** This stage of enhancing entrepreneurial creativity and innovation involves the business owner taking time to study the problem at hand and what its various components are.

3) **Transformation:** The information thus accumulated and acquired should then be subjected to convergent and divergent thinking which will serve to highlight the inherent similarities and differences. Convergent thinking will help identify aspects that are similar and connected while divergent thinking will highlight the differences. This twin manner of thinking is of particular importance in realizing creativity and innovation for the following reasons:

- One will be able to skim the details and see what the bigger picture is the situation/problem's components can be reordered and in doing so new patterns can be identified.
- It will help visualize a number of approaches that can be used to simultaneously tackle the problem and the opportunity.
- One's decision-making abilities will be bettered such that the urge to make snap decisions will be resisted.

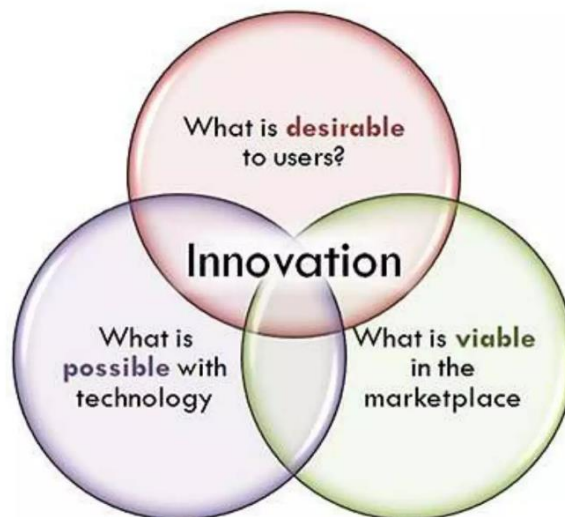
4) **Incubation:** At this stage in the quest for creativity and innovation it is imperative that the subconscious reflect on the accumulated information, i.e. through incubation, and this can be improved or augmented when the entrepreneur:

- Engages in an activity completely unrelated to the problem/opportunity under scrutiny.
- Takes time to daydream i.e. letting the mind roam beyond any restrictions self-imposed or otherwise.
- Relax and play
- Study the problem/opportunity in a wholly different environment

5) **Illumination:** This happens during the incubation stage and will often be spontaneous. The realizations from the past stages combine at this instance to form a breakthrough.

6) **Verification:** This is where the entrepreneur attempts to ascertain whether the creativity of thought and the action of innovation are truly effective as anticipated. It may involve activities like simulation, piloting, prototype building, test marketing, and various experiments. While the tendency to ignore this stage and plunge headlong with the breakthrough may be tempting, the transformation stage should ensure that the new idea is put to the test.

- **Innovation** is the application of better solutions that meet new requirements, unarticulated needs, or existing market needs.
- This is accomplished through more effective [products](#), [processes](#), [services](#), [technologies](#), or [ideas](#) that are readily available to [markets](#), [governments](#) and [society](#).



Principles of Directing

Effective directing is an art, that a superior can learn through practice. However, managers or superiors can follow some principles while directing.

- **Maximum Individual Contribution:** This principle says that the directing function should create self-confidence amongst the subordinates and motivate them so that they give their best to the organisation. Objectives of an organisation are achieved at the optimum level only when every individual in the organisation makes a maximum contribution. Therefore managers should try to elicit the maximum possible contribution from each subordinate. It is the duty of the managers to explore and find out the hidden talents of the subordinates. For example, timely rewarding the workers can motivate them to contribute maximum towards the organisation's goals.
- **Harmony of Objectives:** This principle says that management should harmonise the individuals' objectives with organisational objectives. Every individual joins the organisation to satisfy their needs both their physiological and psychological needs. They are expected to work for the achievement of organisational goals. They will perform their tasks better if they feel that it will satisfy their personal goals too. Therefore managers should harmonise or reconcile the personal goals of employees with the organisational goals.
- **Unity of Command:** According to this principle, each subordinate should receive orders and instructions from one superior only. If a subordinate is made accountable to two bosses simultaneously, there will be confusion, conflict, disorder and indiscipline in the organisation. Therefore, every subordinate should report to one manager only.
- **Appropriateness of Direction Techniques:** According to this the manager should use correct direction techniques to ensure the efficiency of direction. The techniques used should be suitable for subordinates, organisation and the situation. Goals can be accomplished only when an efficient direction is given.
- **Managerial Communication:** According to this, there should be a systematic flow of communication between the superiors and subordinates to achieve the goals of the organisation. A good system of communication between the superior and subordinates helps to achieve mutual understanding. Upward communication, i.e., taking feedback from the subordinates helps a manager to understand the subordinates and allows the subordinates to express their feelings. So proper feedback is needed from the subordinates.
- **Strategic Use of Informal Organisation:** Management should try to identify, understand and use informal groups to strengthen formal and official relationships to improve the effectiveness of direction.
- **Effective Leadership:** According to this principle, managers should exercise good leadership while directing the subordinates. They should act as leaders so that they can influence the activities of subordinates to achieve the goals of the organisation. As leaders, they should guide and council subordinates in their personal problems too to win the confidence and trust of their subordinates.
- **Direct Supervision:** Direction becomes more effective when there is a direct personal contact between the superior and his subordinates. Morale and commitment of employees are improved through direct contact. Therefore, direct supervision should be used wherever possible.
- **Principle of Follow through:** After issuing orders and instructions, the subordinates must be monitored. A manager should find out whether the subordinates are working properly and the problems they are facing regularly because directing is a continuous process. He should act accordingly after following through with the activities of the subordinates.

LEADERSHIP AND TYPES OF LEADERSHIP

A leadership style is a leader's method of providing direction, implementing plans, and motivating

people. Various authors have proposed identifying many different leadership styles as exhibited by leaders in the political, business or other fields.



1. Democratic Leadership

Democratic leadership is exactly what it sounds like — the leader makes decisions based on each team member's input. Although a leader makes the final call, each employee has an equal say in a project's direction. Democratic leaders often have the following characteristics:

- Inclusive
- Collaborative
- Effective communicator
- Empowering
- Supportive and empathetic
- Trust-building
- Emotionally intelligent

2. Autocratic Leadership

Autocratic leadership is the inverse of democratic leadership. In this leadership style, the leader makes decisions without taking input from anyone who reports to them. Autocratic leadership is typically characterized by:

- Centralized decision-making

- Direct and top-down communication
- Minimal delegation
- Limited autonomy for team members
- Emphasis on hierarchy and status
- Resistant to feedback or criticism

3. Laissez-Faire Leadership

If you remember your high-school French, you'll accurately assume that laissez-faire leadership is the least intrusive form of leadership. The French term "laissez-faire" literally translates to "let them do." Leaders who embrace it give nearly all authority to their employees and don't often interject unless the situation calls for it. Some key characteristics of laissez-faire leadership include:

- Limited guidance, direction, and feedback
- Minimal interference and control
- High autonomy and freedom
- Empowerment and trust

4. Strategic Leadership

Strategic leaders sit between a company's primary operations and its growth opportunities. This form of leadership requires vision, competitive awareness, and adaptability. These leaders accept the burden of executive interests but also ensure that working conditions are stable for everyone else.

5. Transformational Leadership

Transformational leaders gain the trust and confidence of their teams, encourage team members, and lead employees toward meeting company goals. Transformational leadership also always improves upon the company's conventions and motivates employees to grow and further develop their skills. Ultimately, the goal of a transformational leader is to create a lasting positive impact, uplift their team to achieve their full potential, and drive success for the organization.

6. Transactional Leadership

Transactional leadership is based on reward and punishment to motivate and direct the behavior. These managers set specific rules and standards, and they closely monitor their employees' performance. They tell employees they can expect rewards if a goal is met. However, they may require more 1:1s or check-ins if people aren't meeting goals. This leadership style is concerned with maintaining the status quo and ensuring that predetermined goals and standards are met. It also assumes that teams need structure and monitoring to meet business goals and that they are reward-motivated.



Differences Between Transactional and Transformational Leadership

Transactional Leadership

- Leadership is responsive
- Works within organizational structure and never deviates
- Maintains the status-quo
- Objectives are achieved through a reward/punishment system

Transformational Leadership

- Leadership is proactive
- Constantly seeking to improve organizational structure with new ideas
- Promotes innovative ideas to solve problems
- Objectives are achieved through motivation to better for the good of the group

7. Coaching Leadership

A coaching leader focuses on identifying and nurturing the individual strengths of each member of the team and developing strategies that will enable teams to work better together. This style is similar to strategic and democratic leadership, but it emphasizes individual employees' success.

8. Bureaucratic Leadership

Bureaucratic leaders follow the rules. Unlike autocratic leadership, they might listen and consider the input of employees, but they might reject input that doesn't align with company policy or past practices. Some key features of bureaucratic leadership include:

- Centralized decision-making
- Strict adherence to rules and procedures
- Clear chain of command
- Limited autonomy

MANAGER AS LEADERS



Essential characteristics; however, many dissimilarities make them distinct. While leadership is about building a vision for people to follow, management is looking after the day-to-day operations of a business. So, here are some more differences between leaders and managers.

LEADER	MANAGER
Leaders have missions to accomplish	Managers are goal-oriented
Leaders challenge the status quo	Managers maintain or try to achieve the status quo
Leaders are unique	Managers mimic their competitors
Leaders take risk	Managers avoid taking risk
Leaders are willing to learn and grow personally	Managers perfect existing, proven skills
Leaders build relationships	Managers focus on goals and objectives

Leaders coach people to become a better version of themselves

Managers direct people to achieve the company goal

Results of leadership are intangible

Results of management is measurable

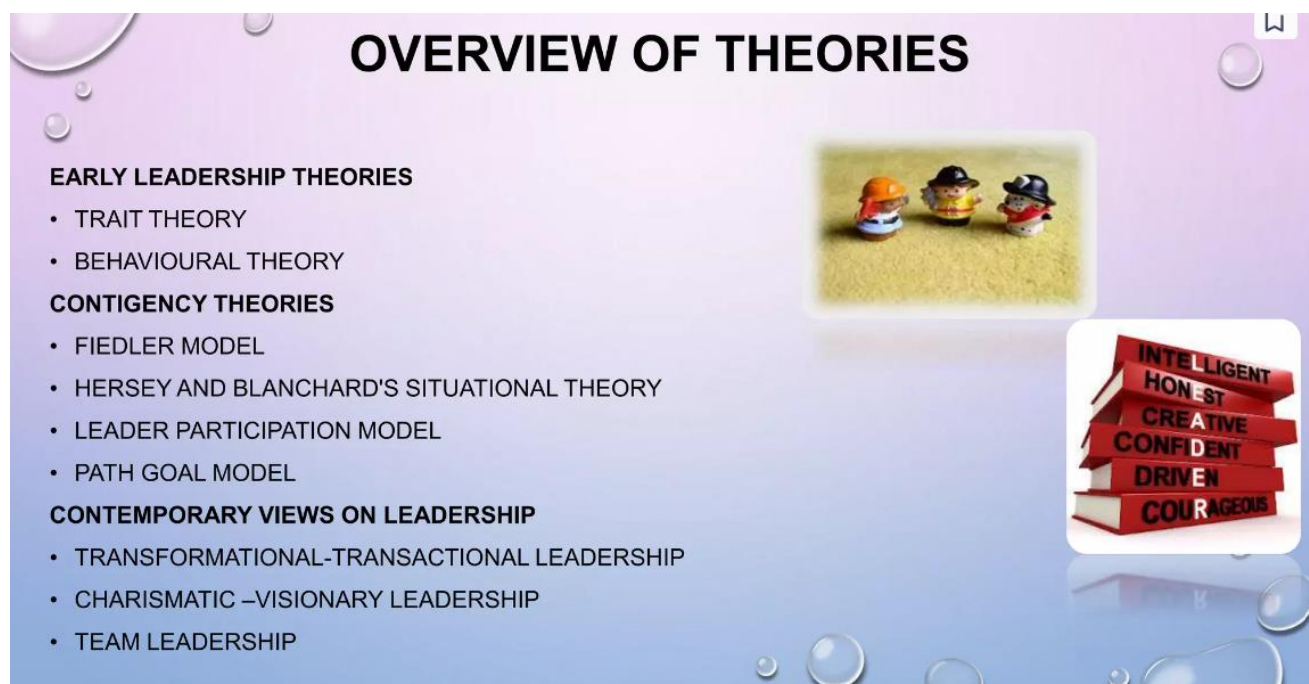
Leadership is qualitative

Management is quantitative

Leaders have fans

Managers have employees

THEORIES OF LEADERSHIP



OVERVIEW OF THEORIES

EARLY LEADERSHIP THEORIES

- TRAIT THEORY
- BEHAVIOURAL THEORY

CONTINGENCY THEORIES

- FIEDLER MODEL
- HERSEY AND BLANCHARD'S SITUATIONAL THEORY
- LEADER PARTICIPATION MODEL
- PATH GOAL MODEL

CONTEMPORARY VIEWS ON LEADERSHIP

- TRANSFORMATIONAL-TRANSACTIONAL LEADERSHIP
- CHARISMATIC –VISIONARY LEADERSHIP
- TEAM LEADERSHIP

- **EARLY LEADERSHIP THEORY** – Great man theories assume that the capacity for leadership is inherent—that great leaders are born, not made. These theories often portray great leaders as heroic, mythic, and destined to rise to leadership when needed. The term "Great Man" was used because, at the time, leadership was thought of primarily as a male quality, especially in terms of military leadership. Such theories suggest that people cannot really learn how to become strong leaders. It's either something you are born with or born without. It is very much a nature ([as opposed to nurture](#)) approach to explaining leadership.

EARLY LEADERSHIP THEORIES

TRAIT THEORY

- “Leaders are born, not made.”
- The trait approach to leadership was one of the earliest theories of leadership.
- This approach focuses on **the personal attributes (or traits)** of leaders, such as **physical** and **personality characteristics, competencies, and values**.
- Leadership traits are considered to be enduring characteristics that people are born with and that remain relatively stable over time.
- Trait theory – assumes the leader is different from the average person in terms of personality traits such as intelligence, perseverance, and ambition.

ASSUMPTIONS

- People are born with inherited traits.
- Some traits are particularly suited to leadership.
- People who make good leaders have the right (or sufficient) combination of traits.

Trait Theories

Similar in some ways to Great Man theories, [trait theories](#) assume that people inherit certain qualities and traits that make them better suited to leadership. Trait theories often identify a particular personality or behavioral characteristics shared by leaders. For example, traits like [extroversion](#), self-confidence, and courage are all traits that could potentially be linked to great leaders.

If particular traits are key features of leadership, then how do we explain people who possess those qualities but are not leaders? This question is one of the difficulties in using trait theories to explain leadership. There are plenty of people who possess the personality traits associated with leadership, yet many of these people never seek out positions of leadership. There are also people who lack some of the key traits often associated with effective leadership yet still excel at leading groups.

TRAIT THEORY OF LEADERSHIP

LIMITATIONS:

- No universal traits found that predict leadership in all situations.
- Unclear evidence of the cause and effect of relationship of leadership and traits.
- Better predictor of the appearance of leadership than distinguishing effective and ineffective leaders.

LEADERSHIP TRAITS:

- DRIVE
- Desire to lead
- Honesty and integrity
- Self-confidence
- Intelligence
- Job relevant knowledge
- Extraversion

Behavioral theories of leadership are based upon the belief that great leaders are made, not born. Consider it the flip-side of the Great Man theories. Rooted in [behaviorism](#), this leadership theory focuses on the actions of leaders, not on mental qualities or internal states. According to this theory, people can learn to become leaders through teaching and observation.

BEHAVIOURAL THEORIES

- Leaders can be made, rather than are born.
- Successful leadership is based on definable, learnable behaviour.

Description

- Behavioural theories do not seek inborn traits – they look at what leaders actually do.
- Success can be defined in terms of describable actions.

Implication:

- Leadership capability can be learned.



BEHAVIOURAL THEORIES

According to UNIVERSITY OF LOWA STUDIES

- The study was conducted by **Kurt Lewin** and his associates
- The three leadership styles which are:-
 1. **AUTOCRATIC**
 2. **DEMOCRATIC**
 3. **LAISSEZ-FAIRE**



MANAGERIAL GRID MODEL OF LEADERSHIP

The managerial Grid Model of Leadership indicates five basic leadership styles of practicing managers representing various combinations. The Managerial Grid Model helps Managers to analyze their leadership styles through a technique known as grid training. Also, Managers can identify how their concerns for production and people with the Managerial Grid Model.

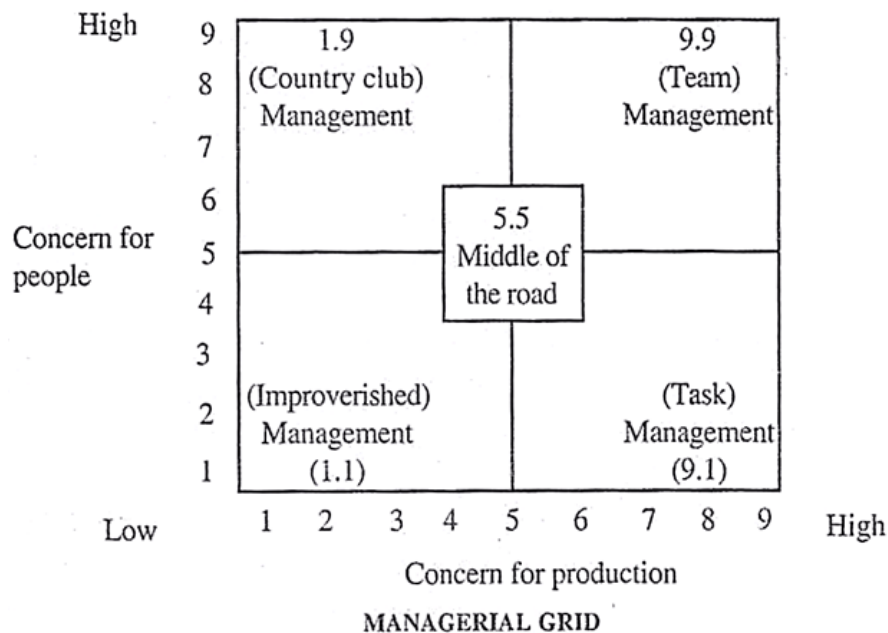
Two Dimensions of Leadership in Managerial Grid Model

The managerial Grid Model is based on two behavioral dimensions; concern for people and concern for production.

- **Concern For People** - This is the degree to which a leader considers the needs of team members, their interests, and areas of personal development when deciding how best to accomplish a task.
- **Concern For Production** - This is the degree to which a leader emphasizes concrete objectives, organizational efficiency, and high productivity when deciding how best to accomplish a task.

Five Leadership Styles in Managerial Grid

They identified 5 basic leadership styles of practicing managers representing various combinations of the two dimensions above, as shown in the following figure;



As shown in the figure, the model is represented as a grid with concern for production as the X-axis and concern for people as the Y-axis; each axis ranges from 1 (Low) to 9 (high).

The five resulting leadership styles are as follows:

Impoverished (1,1): Low concern for both people and production. This leader is typically uninvolved and indifferent.

Country Club (1,9): High concern for people but low concern for production. This leader aims to create a friendly and pleasant work environment but may neglect task accomplishment.

Produce or Perish (9,1): High concern for production but low concern for people. This leader is focused on getting the job done but may not pay much attention to the well-being of the team.

Middle-of-the-Road (5,5): Balancing an intermediate level of concern for both people and production. This style seeks a compromise between achieving results and maintaining good relationships.

Team (9,9): High concern for both people and production. This is considered the ideal leadership style, where the leader strives to achieve both high task performance and team member satisfaction.

CONTINGENCY THEORIES OF LEADERSHIP

Contingency theories of leadership focus on particular variables related to the environment that might determine which particular style of leadership is best suited for the situation. According to this theory, no leadership style is best in all situations.

Leadership researchers White and Hodgson suggest that truly effective leadership is not just about the qualities of the leader, it is about striking the right balance between behaviors, needs, and context.

Good leaders are able to assess the needs of their followers, take stock of the situation, and then adjust their behaviors accordingly. Success depends on a number of variables including the leadership style, qualities of the followers, and aspects of the situation.

CONTINGENCY THEORIES OF LEADERSHIP

- Leadership as being more flexible .
- Different leadership styles being used at different times depending upon the circumstances.
- Suggested leadership is not a fixed series of characteristics that can be transposed into different contexts. May depend on:
 - Type of staff
 - History of business
 - Culture of the business
 - Quality of relationship
 - Nature of the change needed
 - Accepted norms within the institution.



1. FIEDLER MODEL

2. HERSEY AND BLANCHARD'S SITUATIONAL THEORY
3. LEADER PARTICIPATION MODEL
4. PATH GOAL MODEL

FIEDLER'S CONTINGENCY MODEL

- The model was based on the premise that a certain leadership style would be most effective in different types of leadership.
- To measure a leader's style Fiedler developed LPC (**least preferred co worker**) questionnaire.
- LPC measured whether leader was task oriented or relationship oriented. Based on this Fiedler gave three contingency dimensions:

1. Leader-member relations

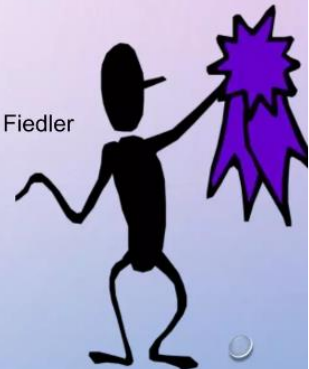
- The degree of confidence, trust, and respect subordinates have in their leader.

2. Task structure

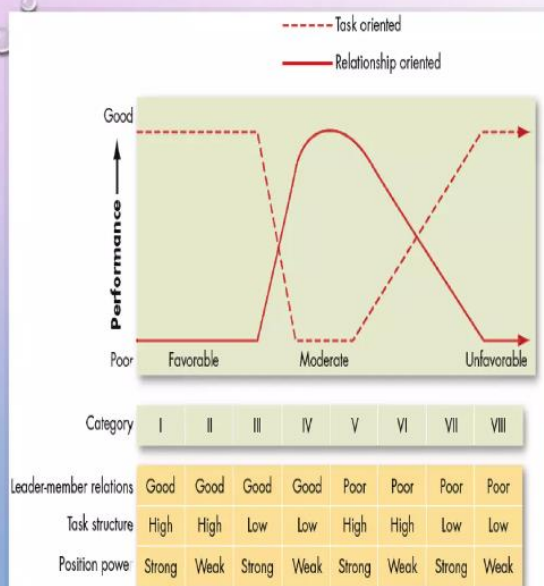
- The degree to which the job assignments are procedurized.

3. Position power

- Influence derived from one's formal structural position in the organization; includes power to hire, fire, discipline, promote, and give salary increases



FIEDLER'S CONTINGENCY MODEL



LPC questionnaire

Pleasant	8	7	6	5	4	3	2	1	Unpleasant
Friendly	8	7	6	5	4	3	2	1	Unfriendly
Rejecting	8	7	6	5	4	3	2	1	Accepting
Tense	8	7	6	5	4	3	2	1	Relaxed
Cold	8	7	6	5	4	3	2	1	Warm
Supportive	8	7	6	5	4	3	2	1	Hostile
Boring	8	7	6	5	4	3	2	1	Interesting
Quarrelsome	8	7	6	5	4	3	2	1	Harmonious
Gloomy	8	7	6	5	4	3	2	1	Cheerful
Open	8	7	6	5	4	3	2	1	Closed
Backbiting	8	7	6	5	4	3	2	1	Loyal
Untrustworthy	8	7	6	5	4	3	2	1	Trustworthy
Considerate	8	7	6	5	4	3	2	1	Inconsiderate
Nasty	8	7	6	5	4	3	2	1	Nice
Agreeable	8	7	6	5	4	3	2	1	Disagreeable
Insincere	8	7	6	5	4	3	2	1	Sincere
Kind	8	7	6	5	4	3	2	1	Unkind

The Fiedler Contingency Model, developed by Fred E. Fiedler in the 1960s, is a leadership theory that focuses on the relationship between a leader's style and the situational context. Fiedler proposed that effective leadership is determined by the interaction between the leader's natural leadership style and the favorableness of the situation.

Key components of the Fiedler Contingency Model include:

Leadership Style: Fiedler identified two primary leadership styles:

- **Task-Oriented Leaders:** Emphasize task accomplishment and focus on achieving goals.
- **Relationship-Oriented Leaders:** Prioritize building positive relationships with team members.

Situational Favorableness (Situational Control): Fiedler proposed that the effectiveness of a leader depends on the favorability of the situation. He identified three factors that contribute to situational favorableness:

- **Leader-Member Relations:** The quality of the relationship between the leader and team members.
- **Task Structure:** The clarity and structure of the tasks being performed.
- **Position Power:** The level of authority and influence the leader has over the team.

Fiedler argued that the effectiveness of a leader is maximized when there is a match between the leader's style and the situational favorableness. For example:

- ✓ Task-oriented leaders are more effective in situations of high or low favorability.
- ✓ Relationship-oriented leaders are more effective in situations of moderate favorability.

To assess leadership style and situational favorableness, Fiedler developed the Least Preferred Coworker (LPC) scale. This scale measures whether a leader is more task-oriented or relationship-oriented based on the leader's preferences for working with their least preferred coworker.

One criticism of the Fiedler Contingency Model is its static nature, as it assumes a fixed leadership style. Additionally, some argue that it oversimplifies the complex nature of leadership by reducing it to a few factors. Despite these criticisms, the Fiedler Contingency Model has contributed valuable insights to the study of leadership and has practical applications in leadership development and team management.

HERSEY AND BLANCHARD'S SITUATIONAL LEADERSHIP THEORY

- This model also called as **situational leadership theory (SLT)**. This theory focuses main attention on follower readiness and situation behavior of leader.
- Readiness is defined as extent to which people have the ability and willingness to accomplish a specific task.
- SLT uses the same two leadership dimensions that fielder identified- task and relationship behaviour.
- They go a step further by considering each as either high or low and then combining them into four specific leadership styles.



SITUATIONAL LEADERSHIP THEORY

Four specific leadership styles.

- **Telling – (high task and low relationship)**- leader defines roles.
- **Selling-(high task and high relationship)**- the leader provides both directive and supportive behaviour.
- **Participating-(low task and high relationship)**- the leader and follower share in decision making. Main role of leader is facilitating and communicating.
- **Delegating- (low task and low relationship)**- the leader provides little direction and support.

Four stages of follower readiness

- **R1-** People are both unable and unwilling to take responsibility for doing something
- **R2-** People are unable but willing to the job tasks.
- **R3-** People are able but unwilling to do the what the leader wants.
- **R4-** People are both able and willing to what is asked of them.

LEADERSHIP PARTICIPATION MODEL

- Leadership participation model related the leadership behaviour and participation to decision making.
- The model argued that leader behaviour must adjust to reflect the task structure- whether it was routine, non routine or in between.
- The model provides the sequential set of rules (norms) that the leader followed in determining the form and amount of decision making, as determined by the different situations and thus called **normative model**.

Leadership styles:-

- Decide
- Consult individually
- Facilitate
- Delegate

LEADERSHIP PARTICIPATION MODEL

- There is also a current model which reflects the how and with whom decisions are made and uses variations of leadership styles.
- It also expand upon the decision making contingencies leader look at in what leadership style would be most effective.
- These contingencies are either present (H for High) or absent (L for Low).
- Time driven model have short term orientation and concerned with making effective decisions with minimum cost .
- Development driven model is also structured in the same way but emphasizes making effective decisions with maximum employee development outcomes and places no value on time.

Decision making contingencies:-

Decision significance
Importance of commitment
Leader expertise
Likelihood of commitment
Group support
Group expertise
Team competence

PROBLEM STATEMENT	Decision Significance	Importance of Commitment	Leader Expertise	Likelihood of Commitment	Goal Alignment	Group Expertise	Team Competence	
H	H	H	H	H	-	-	-	Decide
				L	H	H	H	Facilitate
							L	Consult (Group)
						L	-	
						-	-	Delegate
			L	H	H	H	H	
						L	L	
					L	-	-	
						-	-	
			L	L	H	H	H	Facilitate
						L	L	Consult (Group)
						-	-	
					L	-	-	Consult (Individually)
			L	-	H	H	H	
						L	L	
					L	-	-	
						-	-	
L	H	L	H	-	-	-	-	Decide
			L	-	H	H	H	Facilitate
							L	Consult (Individually)
						L	-	
					L	-	-	
	L	H	-	H	-	-	-	Decide
				L	-	-	H	Delegate
			L	-	-	-	L	Facilitate
							-	Decide

TO USE THIS MODEL LEADER GOES FROM LEFT TO RIGHT.

The **Leader Participation Model**, also known as the Vroom-Yetton-Jago Decision Model, was developed by Victor Vroom and Philip Yetton in the 1970s, and later refined by Vroom and Arthur Jago. This model is a decision-making framework that helps leaders determine the appropriate level of participation from subordinates when making decisions.

The model considers the following factors to guide leaders in choosing the level of participation:

Decision Significance: How important is the decision? Leaders need to assess the potential impact of the decision on the organization and its members.

Importance of Commitment: How crucial is the commitment of subordinates to the successful implementation of the decision? If high commitment is essential, more participation may be warranted.

Leader's Expertise: How much information does the leader possess about the problem? If the leader has significant expertise, they may be able to make a decision more independently.

Likelihood of Commitment: What is the likelihood that subordinates will be committed to the decision if they participate in the decision-making process? Leaders need to consider the willingness of subordinates to accept and implement the decision.

Group Support: Is there a need for group support or alignment on the decision? Some decisions may benefit from group input and consensus.

Based on the assessment of these factors, the model offers different decision-making styles, ranging from autocratic (leader makes the decision alone) to consultative (leader consults with subordinates before making a decision) to group-based (leader involves the group in the decision-making process).

PATH AND GOAL THEORY

- The term **path goal** is derived from the belief that effective leaders clarify the path to help their followers get from where they are to the achievement of their work goals and make the journey along the path easier by reducing road blocks and pitfalls.
- According to House, there are four different types of leadership styles depending on the situation:

1. **Directive Leadership**
2. **Supportive Leadership**
3. **Participative Leadership**
4. **Achievement-oriented Leadership**

The diagram illustrates the Path-Goal Theory model. It shows a central box for 'Leader behavior' with four sub-points: Directive, Achievement-oriented, Participative, and Supportive. This box is connected by a double-headed arrow to a box for 'Environmental contingency factors' (Task structure, Formal authority system, Work group) and another double-headed arrow to a box for 'Subordinate contingency factors' (Locus of control, Experience, Perceived ability). All three boxes point towards a final box for 'Outcomes' (Performance, Satisfaction). An illustration of people climbing a large, colorful cube is positioned above the diagram.

House assumed that the leaders are flexible and same leader can display any of all these leadership styles depending upon the situation.

The **Path-Goal Theory of Leadership** was developed by Robert J. House in the 1970s. It is a leadership theory that focuses on the leader's role in motivating and guiding followers to achieve their goals. The theory suggests that a leader's effectiveness is contingent upon the leader's ability to clarify the paths to various goals for followers and to help them remove obstacles that may hinder goal accomplishment.

Key components of the Path-Goal Theory include:

1. Leadership Styles:

- ✓ **Directive Leadership:** The leader provides specific guidance and clarifies expectations for subordinates.
- ✓ **Supportive Leadership:** The leader is friendly and approachable, showing concern for the well-being of followers.

- ✓ **Participative Leadership:** The leader involves subordinates in decision-making processes.
- ✓ **Achievement-Oriented Leadership:** The leader sets challenging goals and high expectations to encourage performance improvement.

2. Subordinate Characteristics:

The theory takes into account the characteristics of subordinates, such as their locus of control, experience, and perceived ability.

3. Environmental Factors:

The external environment is considered, including the nature of the task, the formal authority system, and the work group.

4. Leadership Effectiveness:

The theory posits that a leader's effectiveness is determined by the extent to which the leader's behavior satisfies the needs and expectations of subordinates, leading to increased motivation and performance.

The Path-Goal Theory is based on the idea that leaders should adapt their leadership style based on the needs of their followers and the requirements of the situation. For example, if followers are facing a challenging and ambiguous task, a directive leadership style may be more appropriate, while a supportive style may be effective in a stressful or monotonous work environment.

CONTEMPORARY VIEWS ON LEADERSHIP

Contemporary views of leadership have evolved to reflect the changing nature of work, society, and organizational structures. Some key trends and perspectives on leadership include:

- **Transformational Leadership:** Transformational leaders inspire and motivate their followers to achieve extraordinary outcomes. They focus on fostering innovation, creativity, and positive change within organizations.
- **Servant Leadership:** Servant leaders prioritize the needs of their team members and work to enhance their well-being and personal development. The emphasis is on humility, empathy, and a commitment to serving others.
- **Authentic Leadership:** Authentic leaders are genuine and true to themselves, fostering trust and transparency within their teams. This approach values self-awareness, ethical decision-making, and open communication.
- **Adaptive Leadership:** Adaptive leaders are flexible and able to navigate through uncertainty and change. They encourage learning, resilience, and the ability to adapt to evolving circumstances.
- **Distributed Leadership:** This perspective suggests that leadership is not confined to a single

person but can be distributed among team members. It emphasizes collaboration, shared decision-making, and leveraging the strengths of the entire team.

- **Inclusive Leadership:** Inclusive leaders value diversity and actively work to create environments where everyone feels a sense of belonging. They promote equity, diversity, and inclusion, recognizing the benefits of diverse perspectives.
- **Agile Leadership:** Agile leaders are responsive and adaptable to the fast-paced and dynamic nature of today's business environment. They emphasize quick decision-making, continuous learning, and iterative approaches to problem-solving.
- **Ethical Leadership:** Ethical leaders prioritize moral principles and values in decision-making. They strive to create a culture of integrity, accountability, and social responsibility.
- **Network Leadership:** With the increasing interconnectedness of organizations and teams, network leaders focus on building and leveraging relationships. They understand the importance of collaboration and networking for achieving collective goals.
- **Digital Leadership:** In the era of digital transformation, digital leaders are proficient in leveraging technology for organizational success. They understand digital trends, embrace innovation, and navigate the challenges of the digital landscape.

CROSS CULTURAL LEADERSHIP

Cross-cultural leadership is a specialized form of leadership that focuses on leading teams or organizations that consist of individuals from diverse cultural backgrounds. In a globalized world where businesses and teams often span multiple countries and cultures, understanding and effectively managing cultural differences is crucial for successful leadership.

Cultural Intelligence (CQ): Cultural intelligence is the ability to understand, adapt to, and work with people from different cultures. Cross-cultural leaders need a high level of CQ to navigate diverse cultural contexts successfully.

Communication Skills: Effective cross-cultural leaders are skilled communicators who can convey messages clearly while being sensitive to cultural nuances. They understand that communication styles, directness, and non-verbal cues vary across cultures.

Cultural Awareness: Cross-cultural leaders demonstrate a deep understanding of the cultural values, norms, and practices of the individuals they lead. They avoid making assumptions based on their own cultural perspectives and seek to learn about and respect diverse cultural backgrounds.

Adaptability: Successful leaders in cross-cultural environments are adaptable and open to different ways of thinking and problem-solving. They can adjust their leadership style to accommodate the preferences and expectations of team members from various cultures.

Conflict Resolution: Cross-cultural leaders must be adept at managing conflicts that may arise due

to cultural misunderstandings. They foster a culture of open communication and provide mechanisms for addressing and resolving conflicts constructively.

Global Mindset: A global mindset involves the ability to think and act with a global perspective. Cross-cultural leaders are aware of global trends, economic influences, and geopolitical factors that may impact their teams or organizations.

Inclusive Leadership: Inclusion is vital in cross-cultural leadership. Leaders strive to create an environment where individuals from diverse backgrounds feel valued and included. They promote equity, diversity, and inclusion to leverage the strengths that come from a variety of cultural perspectives.

Cross-Cultural Team Building: Building cohesive and high-performing teams in a cross-cultural context requires intentional efforts to foster understanding and collaboration. Cross-cultural leaders invest in team-building activities and initiatives that bridge cultural gaps and promote a sense of unity.

Respect for Cultural Differences: Cross-cultural leaders treat cultural differences as assets rather than obstacles. They celebrate diversity and recognize the value that varied perspectives bring to problem-solving and innovation.

Leadership training

Leadership training is a critical initiative aimed at cultivating the skills and qualities essential for effective leadership within organizations. Designed to empower individuals in leadership roles, these programs cover a spectrum of key components. Leaders are exposed to various leadership styles and approaches, fostering an understanding of when and how to apply them.

Communication skills, including active listening and effective expression, form a cornerstone of leadership training, ensuring leaders can convey their vision and guide their teams successfully. Team building and collaboration strategies are emphasized to create cohesive and high-performing teams.

Emotional intelligence training enhances self-awareness and the ability to navigate complex interpersonal dynamics. Decision-making, problem-solving, and critical thinking skills are honed to equip leaders with the tools needed for effective problem resolution. Leadership training also addresses conflict resolution techniques and the establishment of positive organizational cultures.

SUBSTITUTES FOR LEADERSHIP

Substitutes for Leadership

Substitutes for leadership

Professional orientation
Ability, experience, training
Intrinsically satisfying task
Advisory or staff support
Cohesive work group (with positive performance norms)
Direct feedback from the task

